

Recent Trends in Economic Indicators and Investment Implications

Based on the analysis of the full dataset, the following trends and implications were observed for China, the United Kingdom, and the United States:

1. China

- **Industrial Production Year-on-Year Growth:** The average growth rate was around 6.24%. This indicates a relatively strong and consistent growth in industrial production.
- **Retail Sales Year-on-Year Growth:** The average growth rate for retail sales was approximately 7.63%, suggesting healthy consumer spending and demand.
- **Real GDP Year-on-Year Growth:** The average growth rate for real GDP was around 7.93%, indicating robust economic growth. The real GDP of the first season of every year is negative, this may be caused by the error during the data cleaning process, as every January and February's data are not published, so I indicated the Q1 data using three times the data of March every year.
- **Investment Implications:** With stable industrial production and consumer spending, and no obvious signs of a recession, China presents a favorable environment for investors, particularly in the manufacturing and consumer sectors.

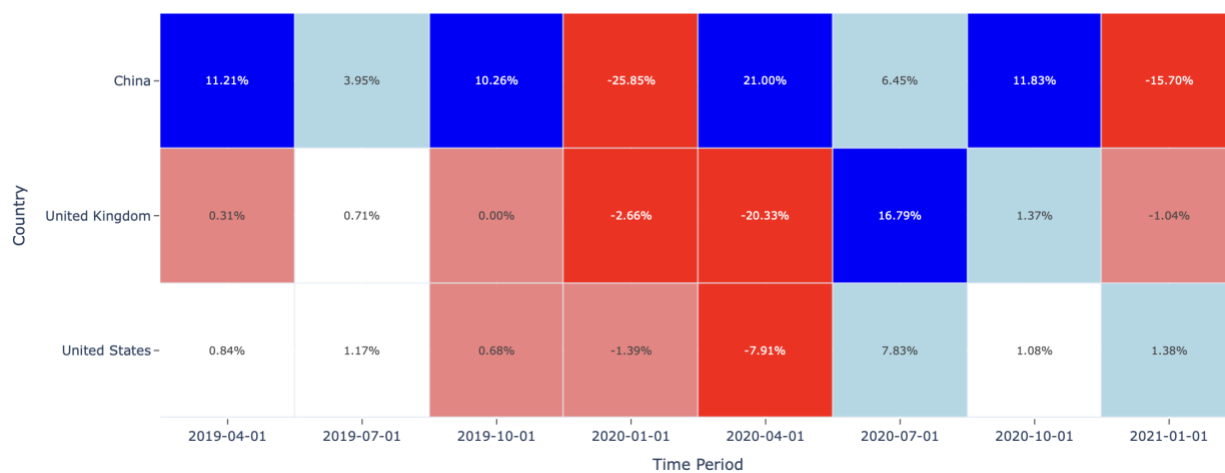
2. United Kingdom

- **Industrial Production Year-on-Year Growth:** The average growth rate was around 3.48%. This shows moderate growth in industrial production, though it may be more volatile compared to other indicators.
- **Retail Sales Year-on-Year Growth:** The retail sales growth rate was 1.66%, indicating slower growth in consumer spending.
- **Real GDP Year-on-Year Growth:** The average real GDP growth rate was approximately 1.75%.
- **Investment Implications:** The presence of a technical recession and slower retail sales growth may indicate economic challenges. Investors may need to exercise caution, particularly in consumer-focused sectors, and consider investments that are less sensitive to economic cycles.

3. United States

- **Industrial Production Year-on-Year Growth:** The average growth rate was around 0.44%, indicating very modest growth, suggesting that industrial production has been relatively flat.

- **Retail Sales Year-on-Year Growth:** Retail sales showed an average growth rate of 5.05%, which is a positive sign for consumer spending.
- **Real GDP Year-on-Year Growth:** The real GDP growth rate averaged 2.47%.
- **Investment Implications:** While consumer spending appears resilient, the technical recession and low industrial production growth suggest caution. Investors might focus on sectors that are less affected by economic downturns, such as technology and essential services while being wary of industries heavily tied to industrial output.



(Figure 1: The observation of technical recession of UK and US from 2020Q1 to 2020Q2)

Sector-Specific Investment Opportunities

1. Technology and Digital Services:

- The US and China have shown resilience in consumer spending, which can be capitalized by technology and digital service companies. China's growth in retail sales suggests opportunities for e-commerce platforms, while US resilience implies robust growth in digital entertainment, fintech, and cloud services.

2. Healthcare and Utilities:

- Given the economic vulnerabilities seen in the UK and the technical recessions in both the US and UK, defensive sectors like healthcare and utilities are likely to provide stability. Investors may find these sectors particularly appealing in economically challenging times.

3. Consumer Goods:

- China's strong retail sales growth presents an attractive market for consumer goods. Companies that cater to the growing middle class and their changing consumption habits may have excellent opportunities for expansion.

4. Renewable Energy and Sustainable Sectors:

- Moderate industrial growth in the UK, along with increased global attention to sustainability, could provide opportunities for renewable energy investments. Companies working in sustainable technologies and green energy could potentially see strong growth.

Summary

- China: Strong growth across indicators with no obvious technical recession, making it an attractive market.
- United Kingdom & United States: Both countries experienced a technical recession, but it may be caused by the COVID period, which is unpredictable. The growth rates in industrial production and retail sales are slower compared to China. Investors should be cautious and focus on resilient sectors in these markets.

The forecast of year-on-year % changes of real GDP for 2025:

US

2025-01-01 3.03%

2025-04-01 3.02%

2025-07-01 3.11%

2025-10-01 2.96%

UK

2025-01-01 0.17%

2025-04-01 0.10%

2025-07-01 0.06%

2025-10-01 -0.09%

China

2025-01-01 5.94%

2025-04-01 4.20%

2025-07-01 4.73%

2025-10-01 4.27%

The code is provided in the file called 2025_GDP.py